



Office of Public Affairs
U.S. Department of Justice



United States Files Complaint Against Barco Uniforms and Its Suppliers, Alleging False Claims Act Violations in Connection with Underpaid Customs Duties



Friday, April 18, 2025

For Immediate Release

Office of Public Affairs

The United States has filed a complaint against Barco Uniforms Inc. (Barco), Kenny Chan, David Chan, and companies operated and controlled by the Chans, alleging that they violated the False Claims Act by knowingly and improperly underpaying customs duties owed on imported apparel. Barco sells apparel, including uniforms, to restaurants and health care providers, among others. Kenny and David Chan operate various companies that supply Barco with apparel manufactured overseas, including in the People's Republic of China (PRC).

"Those who import and sell foreign-made goods in the United States must comply with all trade laws," said Acting Assistant Attorney General Yaakov M. Roth of the Justice Department's Civil Division. "The Department will hold accountable parties who evade or underpay duties owed on imported merchandise."

"We will not allow parties engaging in fraudulent schemes to underpay rightful customs duties to profit at the expense of the American public," said Acting U.S. Attorney Michele Beckwith for the Eastern District of California.

"CBP is proud of the investigative work and analysis done on this case and will continue to work collaboratively with interagency stakeholders to safeguard our nation's economic security," said Director of Field Operations David Salazar of the U.S. Customs and Border Protection (CBP) San Francisco Field Office.

To import merchandise into the United States, the party making the entry must declare, among other things, the value of the goods, whether the goods are subject to duties, the applicable duty rate, and the amount of duties owed. CBP relies on these representations to levy and collect duties on imported

merchandise. A commercial invoice reflecting the value of the goods is required to support the declarations submitted to CBP.

The United States’ complaint alleges that the defendants conspired to knowingly and improperly avoid or decrease the payment of customs duties by undervaluing imported garments Barco purchased from foreign suppliers. Among other things, the government’s complaint alleges that the defendants used a double-invoicing scheme featuring false entry summaries presented to CBP that undervalued imported goods purchased by Barco, thereby reducing the duties paid on the merchandise. The government further contends that the defendants continued to underpay customs duties even after a third-party auditor advised Barco of risks associated with the underpayment of duties and recommended that Barco “double-check” duty calculations underlying prices that Barco agreed to with its foreign suppliers. In addition to Barco, Kenny Chan, and David Chan, the government’s complaint asserts claims against the following entities operated and controlled by the Chans: Able Allied Limited, Nathan Global Direct Inc., J&K Garment Inc., Mega Goodwill Ltd., JS Garment Co., and Superway Import & Export Inc.

The lawsuit was originally filed under the *qui tam* or whistleblower provisions of the False Claims Act by Toni Lee, the former director of product commercialization at Barco Uniforms. The act permits private parties to file suit on behalf of the United States for false claims and to share in any recovery. The act also permits the United States to intervene in and take over responsibility for such an action, as it has done in this case.

Senior Trial Counsel Elspeth A. England of the Civil Division’s Commercial Litigation Branch, Fraud Section, and Assistant U.S. Attorney David E. Thiess for the Eastern District of California are handling the matter, with assistance provided by CBP and Homeland Security Investigations. The case is *United States ex rel. Lee v. Barco Uniforms Inc., et al.*, No. 2:16-CV-1805 in U.S. District Court for the Eastern District of California.

The claims asserted by the United States are allegations only, and there has been no determination of liability.

Updated April 18, 2025

Topic

FALSE CLAIMS ACT

Components

[Civil Division](#) | [USAO - California, Eastern](#)

Related Content

PRESS RELEASE

RentGrow Inc. Agrees to \$2.25M Civil Penalty and Injunction for Alleged Violations of Fair Credit Reporting Act and FTC Act

The Justice Department announced today that a federal court has entered a stipulated order resolving a case against consumer reporting company, RentGrow Inc., in a case investigated and referred to...

August 12, 2026

PRESS RELEASE

Chinese-Owned Company to Pay More Than \$11M to Resolve False Claims Act Allegations Relating to Paycheck Protection Program Loan

Continental Aerospace Technologies Inc. has agreed to pay \$11,772,680.14 to resolve allegations that it violated the False Claims Act by submitting false claims to obtain a Paycheck Protection Program (PPP)...

August 11, 2026

PRESS RELEASE

Veloxis Pharmaceuticals Agrees to Pay Over \$46M to Resolve Criminal and Civil Liability for Kickback Schemes

Veloxis Pharmaceuticals Inc. (Veloxis), a drug manufacturer based in Cary, North Carolina, has [agreed](#) to pay over \$46 million to resolve criminal and civil allegations that it paid kickbacks to...

August 10, 2026



Office of Public Affairs

U.S. Department of Justice

